

An Act

ENROLLED HOUSE
BILL NO. 4040

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

An Act relating to the State Department of Health; creating the Oklahoma Rural Health Transformation Program; stating purpose; designating the State Department of Health as lead agency; allowing for the Department to partner with other agencies; creating reporting requirements; creating the Oklahoma Rural Health Transformation Revolving Fund; establishing fund at the State Department of Health; deeming the funds appropriated; providing expenditure and budgeting requirements and limitations; requiring a minimum balance in the fund at the end of the project; allowing for use of memoranda of understanding; limiting scope of such memoranda; providing for codification; and declaring an emergency.

SUBJECT: State Department of Health

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3321 of Title 63, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Rural Health Transformation (ORHT) Program".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3321.1 of Title 63, unless there is created a duplication in numbering, reads as follows:

The purpose of this act is to ensure the oversight of federal funds received by the State Department of Health, and other partner agencies, through the Rural Health Transformation (RHT) Program, created in Public Law No. 119-21.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3321.2 of Title 63, unless there is created a duplication in numbering, reads as follows:

A. The State Department of Health shall act as the lead agency for Oklahoma in administering the Rural Health Transformation (RHT) Program. The Department shall interface with the federal government on behalf of the State of Oklahoma, and other state agencies, in the disbursement of funds, and reporting requirements to the federal government.

B. As the lead agency, the State Department of Health shall provide a yearly report on the progress of the expenditures, programs, and outcomes that were listed in the application to the Centers for Medicare and Medicaid Services (CMS), as well as any changes that have been adopted, along with the reasons for such changes. Said report shall be submitted annually, no later than January 31 throughout the life of the program. Such reports shall be submitted to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the Appropriations and Budget Chair of the Oklahoma House of Representatives, the Appropriations Chair of the Oklahoma State Senate, and the relevant subcommittee chairs for each chamber. Additionally, the Department shall publish such reports on its website.

C. No less than quarterly, the Department shall publish on its website progress reports for all projects, including the expenditure of funds for each project as of the latest completed calendar quarter.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3321.3 of Title 63, unless there is created a duplication in numbering, reads as follows:

A. There is hereby created in the State Treasury a revolving fund for the State Department of Health to be designated the "Oklahoma Rural Health Transformation Revolving Fund (ORHT Revolving Fund)". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies appropriated to

the State Department of Health for the benefit of cash-flowing the Rural Health Transformation (RHT) Program overseen by the Centers for Medicare and Medicaid Services (CMS). All monies accruing to the credit of said fund are hereby appropriated and may be budgeted and expended by the State Department of Health for the purpose of funding programs and projects approved by CMS for the RHT Program. Expenditures from said fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. The State Department of Health may enter into memoranda of understanding with partner agencies for the expenditure of funds from the ORHT Revolving Fund. Such expenditures are limited to those necessary to complete projects and programs under the RHT Program.

C. At the end of the Rural Health Transformation (RHT) Program, there shall remain a balance in the fund equal to the amount transferred in Section 74 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature.

SECTION 5. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 14th day of April, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 16th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____